

UTILITY & WATER-SUPPLY RECEIVABLES · WHITE PAPER

The Final-Bill Playbook

Recovering unpaid utility finals from customers who moved on — diplomatically, compliantly, at volume

Every utility carries it: the final bill of a customer who closed the account, moved away, and never paid. Each balance is small — often \$50 to \$300 — but they arrive continuously, they age fast, and for a member-owned water supply corporation every written-off final is quietly absorbed by the neighbors who stayed and paid. Recovering finals isn't aggressive; it's fair. This paper lays out the playbook: how final bills behave, the five disciplines that keep them collectible, the recovery process step by step, and when handing them to a professional partner beats another round of letters.

Why final bills are a different receivable

Utility receivables don't behave like ordinary invoices. They arrive in **high volume**, the individual balances are manageable, and the accounts **age fast** — by the time a final bill is written off, the customer has often been gone for months. Three things make finals uniquely hard for an office to work in-house:

THE PROBLEM	WHY IT DEFEATS IN-HOUSE EFFORT
The customer is gone	Service ended, the deposit (if any) is exhausted, and there is no relationship left to appeal to — and no disconnection lever left to pull.
No forwarding address	Movers who intend to pay leave one. The finals that go unpaid disproportionately belong to customers who can't easily be found — which makes skip tracing the gating step for everything else.
Small balances, real money	No single final justifies an hour of staff time — but a few hundred of them, accumulating every year across a district, add up to real revenue the remaining members are covering.

The five disciplines of utility collections

Whether accounts are worked in-house or placed with a partner, recovery performance comes down to five disciplines:

DISCIPLINE	IN PRACTICE
1. Segment your debtors	Group accounts by amount owed, age, payment history and account type rather than treating every delinquency the same — a \$60 final from last month and a \$400 balance from two years ago deserve different handling.

DISCIPLINE	IN PRACTICE
2. Put the policy in writing	Clear credit-control policy: due dates, reminder timelines, penalties and escalation triggers — applied consistently so no member can claim surprise or favoritism.
3. Communicate early and steadily	Timely reminders right after the due date, escalating gradually through letters, calls and messages — documented at every step. Early contact is the cheapest recovery there is.
4. Stay flexible on the how	Installments and reasonable settlements recover more from households in genuine hardship than rigid demands — and protect the utility's standing in its own community.
5. Use the right tools, lawfully	Online payment options, automated reminders and good records — under strict adherence to the FDCPA, CFPB Regulation F, state rules and protections for vulnerable populations.

The recovery process, step by step

For finals that survive the reminder cycle, the process that actually recovers money looks like this:

1. **Gather and prioritize.** Pull the delinquent-finals list from the billing system with balances, dates and last-known contact details; prioritize by age and recovery likelihood.
2. **Formal notice.** A clear written demand stating the debt's origin, the amount, payment options and what happens next.
3. **Documented follow-up.** Calls and written contact, escalated on a schedule, with every attempt logged.
4. **Locate the mover.** For the customers who left no forwarding address — the heart of the finals problem — professional skip tracing finds the new address, phone and employment data that make contact possible at all.
5. **Professional placement.** When internal efforts are exhausted — typically at **60–90 days of non-payment** — place the accounts with a collection partner. On contingency, placing costs nothing.
6. **Escalation where warranted.** Legal remedies exist for the rare large balance, but for typical finals the leverage that works is simpler — see below.

The two levers that move a moved customer

Skip tracing answers “where are they?” — without it, nothing else happens. Southwest Recovery runs Experian-powered skip tracing daily on placed accounts, refreshing address, phone and employment data for as long as the account is worked.

Credit-bureau reporting answers “why should they pay?” For a \$75–\$300 final, a collection tradeline is the single strongest incentive there is: the balance resurfaces at the former customer's next apartment application, car loan or mortgage — precisely when they most want it resolved. Qualifying accounts are furnished to all three major bureaus under the FCRA.

Compliance is the strategy, not a constraint

A utility — especially a member-owned one — collects under a spotlight. Aggressive or unethical tactics generate exactly the publicity that damages public trust, and a board answers for its vendor’s conduct at every community meeting. The playbook is therefore compliance-first by design:

- **FDCPA and CFPB Regulation F** govern every consumer contact — call frequencies, disclosures, dispute handling.
- **State rules and local requirements** layer on top, including protections for vulnerable populations.
- **Documentation everywhere:** every notice, call and promise logged — defensible to a regulator, a court, or a member at the podium.
- **Diplomatic conduct:** a former member’s family may still be your members’ neighbors. Firm, professional, respectful contact recovers the money and protects the name on the water tower.

What to have ready before you place

Complete documentation significantly improves recovery rates and speeds resolution. Before referring finals, assemble for each account:

- Final billing statement (and prior statements showing the balance build-up)
- The membership/service agreement establishing the obligation
- Service and disconnection dates — proof service was delivered
- Full payment history, including partial payments and returned items
- A log of internal collection attempts (notices sent, calls made)

Most of this exports directly from the billing system — a good partner maps your export once, and every future placement takes minutes.

When to place, what to expect, what it costs

QUESTION	THE HONEST ANSWER
When should finals go out?	After internal efforts are exhausted — typically 60–90 days of non-payment. Fresh accounts (under ~90 days) resolve at materially higher rates than balances left a year or more; a standing “place finals at 90 days” rule run monthly beats an annual cleanup.
How long does recovery take?	Fresh accounts commonly resolve in 30–45 days; older balances run 60–120 days; the rare legal-path case takes longer.
What does it cost?	Professional agencies typically charge 10–25% of recovered funds , with the rate driven by account age, balance size and volume — fresher accounts earn lower rates. On pure contingency there is no upfront fee, no retainer and no minimum: if nothing is recovered, nothing is owed.
What does the board see?	Live recovery reporting on demand — placements, contacts, recoveries and remittances — the numbers a board wants at every meeting, without asking the office to compile them.

About Southwest Recovery Services

Southwest Recovery Services recovers utility receivables — water and wastewater (for municipal and private providers alike, including member-owned water supply corporations), electric, gas, telecommunications and waste services — on pure contingency since 2004. Residential accounts are worked under the FDCPA and CFPB Regulation F with the diplomacy a community-owned utility requires; qualifying accounts are furnished to the major credit bureaus under the FCRA. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide from 12 offices in 7 states — with no upfront fee, no retainer and no minimum, so recovery never touches the budget. Southwest Recovery is an ACA International member with a clean compliance record since 2004.

Put your unpaid finals back where they belong — in the corporation.

A short call to walk your delinquent-finals list, quote a contingency rate against a representative sample, and set up a standing monthly placement your office can run from a single billing export.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Consumer-protection and credit-reporting rules vary by state — confirm current requirements with counsel. Recovery figures and fee ranges are illustrative and vary by portfolio, account age and documentation. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.